Japan Quant Strategy

Markets Await a Spark from AI Earnings— AI Narratives Diverge; CTAs Hold Steady, Macro HFs Buy Dips

Global Quantitative and Derivatives Strategy

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Today (October 29) the Japanese market was able to fully digest the FOMC announcement, and as long-term interest rates in Japan and overseas become increasingly stable, the Nikkei Average remained on a recovery track toward the 64,500 level (as of 12:00 a.m. Tokyo time). While CTA funds and others appear to have confirmed a temporary bottom around the 62,000 level and have halted their selling, they have not yet switched to buying futures but seem to be adopting a wait-and-see stance for now. Instead, the cash equity market is currently driving the rally, with ADVANTEST (6857), which surged today on the back of strong earnings results announced yesterday, contributing to the Nikkei Average's advance. The index's intraday volatility remains high, driven by price movements in individual stocks. Although the ECB and Bank of Japan (BoJ) meetings are still pending, the market's focus has already begun to shift from macroeconomic events to earnings results of AI-related companies.

Narrative for overseas AI-related companies: That said, it is still difficult to say that the market as a whole has recovered its upward momentum. Broad market supply and demand conditions are showing signs of softening, and while the Japanese Stock Sentiment index has stopped declining, it remains stagnant in slightly negative territory (Figure 1). South Korean stocks and US-based hyperscalers are among the top variables that have the highest impact on market sentiment. **The performance of global AI-related stocks will likely be the key to regaining upward momentum. However, AI-related earnings announcements by overseas companies are beginning to show mixed results as the earnings results season progresses**. The tone of media coverage for US-based hyperscalers is divided, with varying assessments depending on the company (Figures 3 and 4), and market reactions to South Korean memory-related stocks are also mixed (Figures 5 and 6). Currently, the tone of media coverage is influencing valuations (NTM P/E) more than stock prices themselves. Even while stock selection is being made based on the quality of earnings results, there is still no sense of momentum leading to an expansion of multiples across the AI semiconductor sector as a whole. To summarize, at the midpoint of the overseas earnings results season, individual alpha is taking precedence over sector beta. While the earnings results announced by AI-related companies serve as a basis for stock selection, they do not appear to have yet become the driving force to propel the overall market higher.

Top-down hedge fund positioning: So, what drives the index beta? Currently, the players most likely to take the lead are top-down hedge funds (CTAs and macro hedge funds), as they tend to react more easily to macroeconomic trends than to the AI narrative. We believe that the top-down players globally have temporarily reduced the long equity positions they accumulated during September, but are maintaining their long positions overall due to the resilience of the global economy. At the same time, short positions in developed-market bonds have been cut by approximately 30% from their recent peak (as of October 28) (Figure 7). This can be viewed as a reduction of excessive short positions, meaning that positions which had deviated from central banks' policy stances (as reflected in 'speech scores' based on hawkish/dovish sentiment) have generally adjusted back to levels consistent with those stances. We think it is likely that position adjustments on the

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bond side are coming to an end for now. **Assuming that these top-down players regain confidence in a "scenario in which rising stock prices and weaker bond prices (i.e., prolonged high interest rates) coexist" we believe there will be opportunity to rebuild positions on the equity side.**

In Japan as well, the positions held by top-down players are generally consistent with the Japanese Manufacturing PMI and the BoJ's policy stance (Figures 9 and 10). However, we note that in October, while CTAs closed out their long positions in Nikkei futures, macro hedge funds increased their positions by buying on dips, suggesting a divergence in behavior. Macro hedge funds appear to be buying Japanese stocks from a relatively contrarian stance, seemingly anticipating a year-end rally scenario. Although CTAs continue to cover their short positions in JGB futures, the likelihood of a severe risk-off scenario (i.e., tail risks such as global credit turmoil or a cyber-recession) that would push the 10-year JGB yield below ~2.55% appears to be receding. We believe that short coverings at the current level of around 2.8% are primarily for profit-taking purposes (Figure 12).

Overall, two distinct forces are currently at work in the Japanese stock market. We see the share price performance of individual companies as being driven by domestic and overseas results announcements, centered on AI semiconductor-related companies, and market narratives. On the other hand, the direction of the overall index is being determined by the positions of top-down investors. The fact that top-down players' bond position adjustments are nearing their completion suggests to us that the index's downside is becoming more resilient than before, as portfolio-wide "de-grossing" pressure eases. However, we also believe that for the Nikkei Average to extend its gains it will require either a broad-based expansion of valuations in AI semiconductor-related stocks or a renewed appetite for risk-taking among top-down players. Following the upcoming ECB and BoJ policy meetings and the US midterm elections, we think the next focus will be on whether CTAs, which have been adopting a wait-and-see stance, will switch to buying.

Figure 1: Japanese Stock Sentiment index (demand-supply-based Fear and Greed index) – Continues to stagnate in slightly negative territory

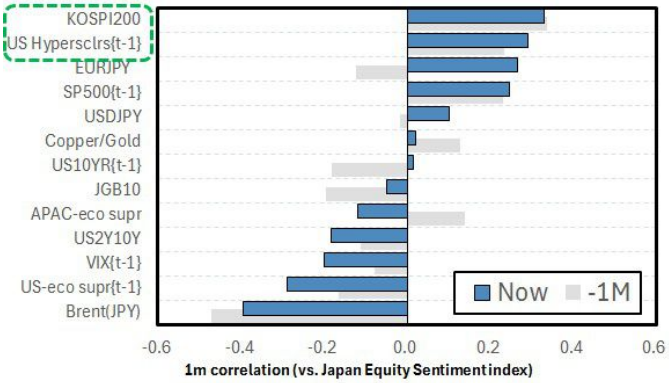
Most recent as of October 28



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 2: Correlation between Japanese stock sentiment and key indicators – Recently, it has been highly susceptible to fluctuations in South Korean stocks and US-based hyperscaler stocks

Weekly changes used. Most recent as of October 28



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

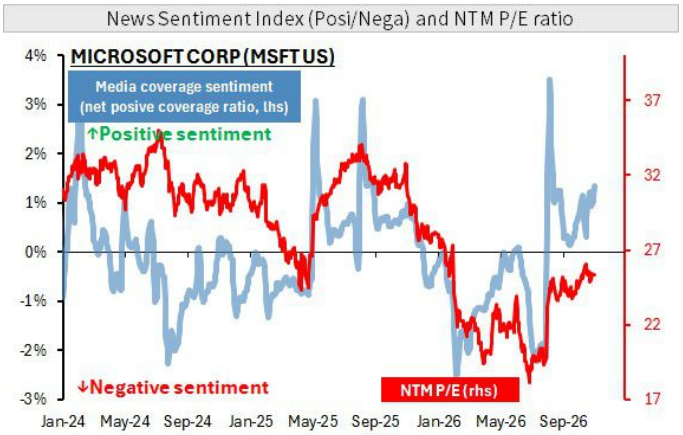
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Figure 3: [Microsoft Corp (MSFT)] – Sentiment based on individual company news coverage and NTM P/E ratio: An improvement in the tone of news coverage within positive territory is supporting an increase in multiples

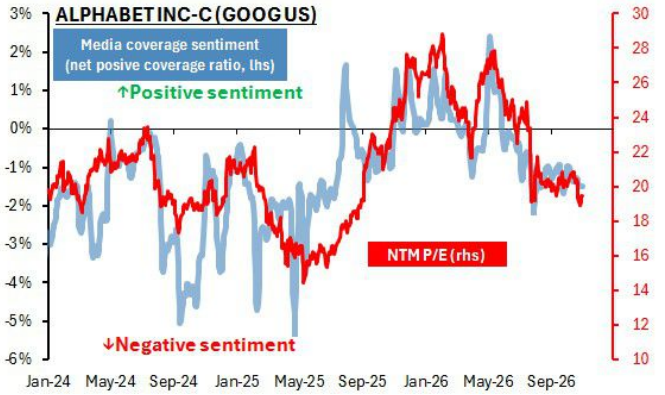
Sentiment scores calculated by systematically identifying news coverage of individual companies as positive, negative, neutral, or unclassifiable (based on English-language coverage from major media outlets). Most recent as of October 28



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 4: [Alphabet Inc (GOOG)] – Sentiment based on individual company news coverage and NTM P/E ratio: The news coverage tone remains in negative territory, weighing on the valuation (3Q earnings results not yet reflected)

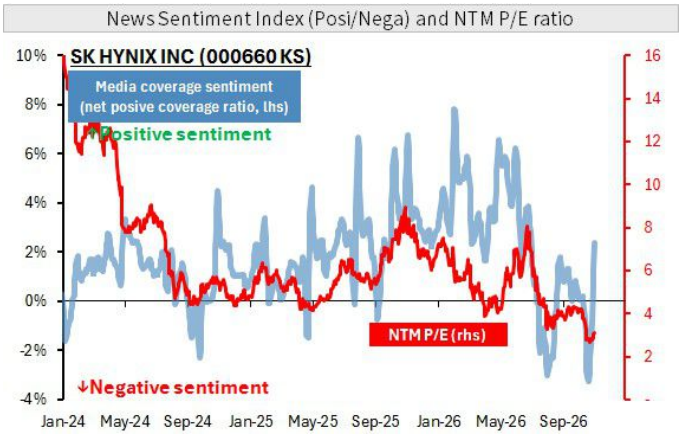
Sentiment scores calculated by systematically identifying news coverage of individual companies as positive, negative, neutral, or unclassifiable (based on English-language coverage from major media outlets). Most recent as of October 28



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 5: [SK Hynix Inc(000660KS)] – Sentiment based on individual company news coverage and NTM P/E ratio: Following the 3Q earnings announcement, the tone of news coverage improved sharply in a positive direction

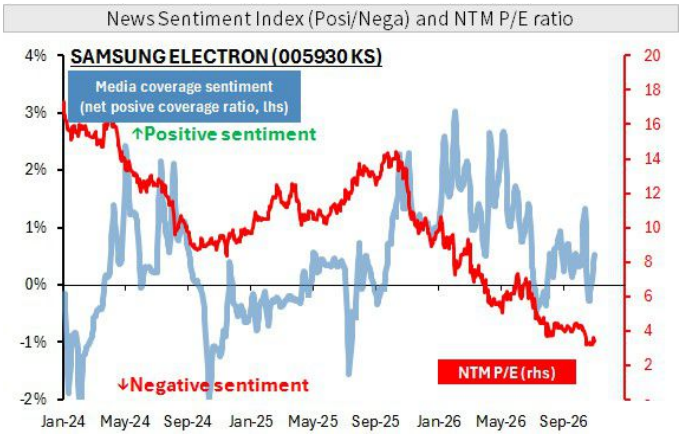
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Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 6: [Samsung Electronics Co Ltd (005930KS)】 – Sentiment based on individual company news coverage and NTM P/E ratio: Need to confirm how the 3Q earnings results announced on October 29 will impact the market

Sentiment scores calculated by systematically identifying news coverage of individual companies as positive, negative, neutral, or unclassifiable (based on English-language coverage from major media outlets). Most recent as of October 28



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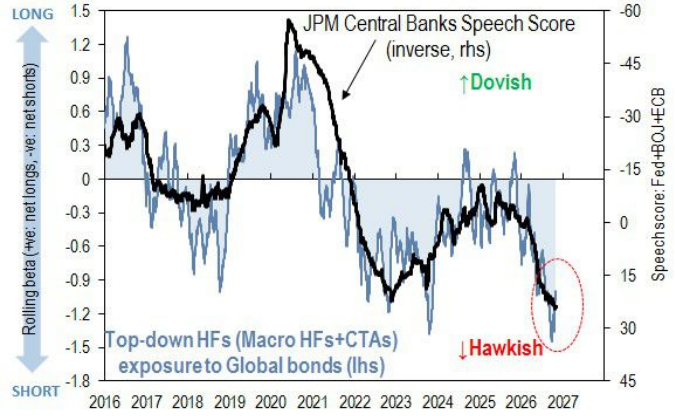
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Figure 7: Net exposure to developed market bond futures by top-down hedge funds (Macro HFs + CTA) and major Central Bank speech scores (Hawkish/Dovish): Excessively accumulated bond short positions have been unwound, but are current levels generally consistent with the policy stances of major central banks?

Most recent as of October 28



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 8: Net exposure to global equities by top-down hedge funds (Macro HFs + CTA) and the global manufacturing PMI (output assessment): Although some equity long positions were unwound in October in tandem with the reduction in bond shorts, the strength of the macroeconomy justifies high levels of equity long positions

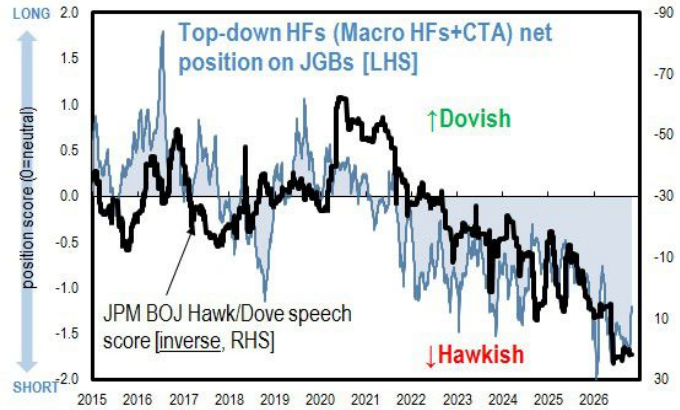
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Figure 9: Net JGB-related exposure of top-down hedge funds (Macro HFs + CTA) and BoJ speech score (Hawkish/Dovish): With the October BoJ policy meeting expected to result in no change in interest rates, we believe top-down funds bought back positions for profit-taking purposes

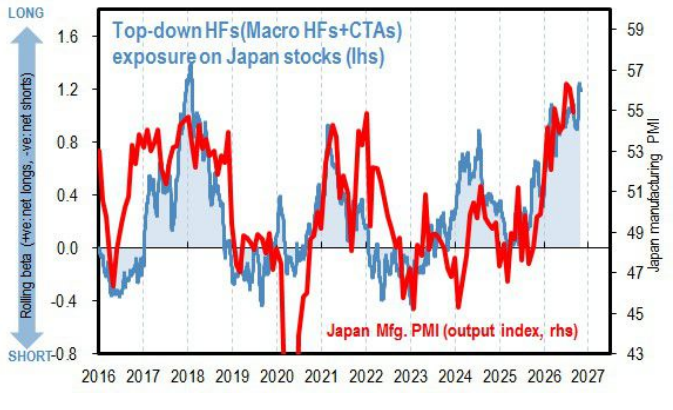
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Figure 10: Net exposure to Japanese stocks by top-down hedge funds (Macro HFs + CTAs) and Japan's Manufacturing PMI (Output Assessment): In October, CTAs partially unwound their long equity positions, but macro hedge funds appear to have continued buying Japanese stocks on dips

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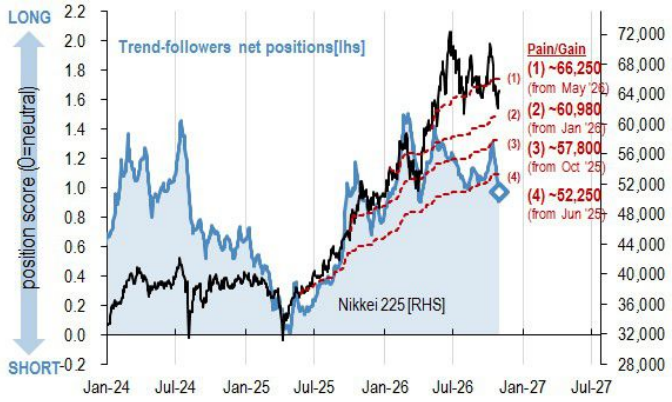
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Figure 11: CTA's Nikkei futures positions - CTAs appear to be in a wait-and-see mode, but re-leveraging could occur if the NKY recovers to ~66,250

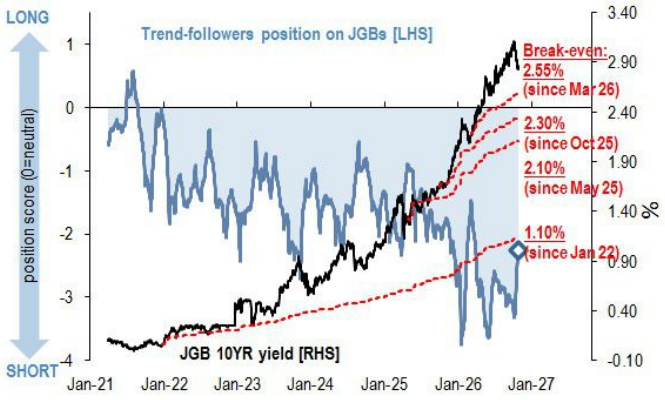
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Figure 12: CCTA's JGB-related positions – Presuming that CTAs continue to cover short positions, primarily in JGB futures; however, when the 10-year JGB yield reaches ~2.55% or higher, the primary objective is likely to be to take precautionary profits

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